

## ***DSCR MULTI & MIXED (5-10 UNITS MULTI OR 2-8 UNITS MIXED)***

| Investment Property (Business Purpose)                                                                                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                                                                                                                                     |                               |                       |                            |                                                         |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------|-----------------------|----------------------------|---------------------------------------------------------|
| Min Credit Score                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Max Loan Amount                                                                                                                                                                                                                                                                                                                                                                                                                     | Max LTV Purchase              | Max LTV R/T Refinance | Max LTV Cash-Out Refinance | Property Type                                           |
| >=1.00 DSCR                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                     |                               |                       |                            |                                                         |
| 720+                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                           | 75                            | 75                    | 70                         | Residential<br>5-10 Units and<br>Mixed Use 2-8<br>Units |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                           | 75                            | 70                    | 65                         |                                                         |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 2,500,000                                                                                                                                                                                                                                                                                                                                                                                                                           | 70                            | 70                    | 65                         |                                                         |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 3,000,000                                                                                                                                                                                                                                                                                                                                                                                                                           | 70                            | 70                    | 65                         |                                                         |
| Housing History                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                     | Housing Event Seasoning       |                       |                            |                                                         |
| 0x30x24                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                     | • BK/FC/SS/DIL/Mod: 24 Months |                       |                            |                                                         |
| Geographic Restrictions                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                     |                               |                       |                            |                                                         |
| <ul style="list-style-type: none"><li>FL: Foreign Nationals and Non-Permanent Resident Aliens from the Republic of China are ineligible.</li><li>HI: Wholesale – Ineligible, Correspondents - Eligible</li><li>MD: All Row Homes located in Baltimore City are ineligible.</li><li>NY:<ul style="list-style-type: none"><li>See NY Subprime section for requirements.</li><li>Mixed Use and Multi Housing Product ineligible in Orange County.</li></ul></li></ul> |                                                                                                                                                                                                                                                                                                                                                                                                                                     |                               |                       |                            |                                                         |
| General Requirements                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                     |                               |                       |                            |                                                         |
| Product Type                                                                                                                                                                                                                                                                                                                                                                                                                                                       | <ul style="list-style-type: none"><li>30-Yr Fixed, 15-Yr Fixed</li><li>40 Yr Fixed I/O (10 year I/O period, and remaining term fully amortizing)</li><li>30 Yr Fixed I/O (10 year I/O period, and remaining term fully amortizing)</li><li>5/6 and 7/6 SOFR ARMs, 30 Yr Term – Fully Amortizing</li></ul>                                                                                                                           |                               |                       |                            |                                                         |
| Interest Only                                                                                                                                                                                                                                                                                                                                                                                                                                                      | • Max LTV: 75%                                                                                                                                                                                                                                                                                                                                                                                                                      |                               |                       |                            |                                                         |
| Loan Amount                                                                                                                                                                                                                                                                                                                                                                                                                                                        | <ul style="list-style-type: none"><li>Min: \$250,000 and Max \$3,000,000</li><li>Loan sizes under \$400,000 require a 5% reduction to LTV</li></ul>                                                                                                                                                                                                                                                                                 |                               |                       |                            |                                                         |
| Occupancy                                                                                                                                                                                                                                                                                                                                                                                                                                                          | • Investment Properties (Business Purpose)                                                                                                                                                                                                                                                                                                                                                                                          |                               |                       |                            |                                                         |
| Loan Purpose                                                                                                                                                                                                                                                                                                                                                                                                                                                       | • Purchase, Rate/Term, and Cash Out                                                                                                                                                                                                                                                                                                                                                                                                 |                               |                       |                            |                                                         |
| 2-1 Temporary Buydown                                                                                                                                                                                                                                                                                                                                                                                                                                              | • Not permitted.                                                                                                                                                                                                                                                                                                                                                                                                                    |                               |                       |                            |                                                         |
| Cash-Out                                                                                                                                                                                                                                                                                                                                                                                                                                                           | • Max cash-out: \$1,000,000                                                                                                                                                                                                                                                                                                                                                                                                         |                               |                       |                            |                                                         |
| Investor Experience                                                                                                                                                                                                                                                                                                                                                                                                                                                | <ul style="list-style-type: none"><li>No First Time Investors for 2-8 units</li><li>Mixed Use. Borrower must have a history of owning and managing commercial or residential real estate for at least 1 year in the last 3 years</li><li>First Time Investors are permitted on 5-10 Unit Residential properties with a 0x30x24 housing history or when the primary is owned free and clear.</li></ul>                               |                               |                       |                            |                                                         |
| Borrower Eligibility                                                                                                                                                                                                                                                                                                                                                                                                                                               | <ul style="list-style-type: none"><li>U.S. Citizens</li><li>Permanent Resident Aliens</li><li>Non-Permanent Resident Aliens (See Geographic Restrictions above)</li><li>Foreign Nationals (See below)</li></ul>                                                                                                                                                                                                                     |                               |                       |                            |                                                         |
| First Time Homebuyers                                                                                                                                                                                                                                                                                                                                                                                                                                              | • Considered, See Guidelines                                                                                                                                                                                                                                                                                                                                                                                                        |                               |                       |                            |                                                         |
| Foreign National                                                                                                                                                                                                                                                                                                                                                                                                                                                   | <ul style="list-style-type: none"><li>Min DSCR &gt;= 1.00</li><li>Foreign Credit is permitted.</li><li>Reserves: 12 months PITIA</li></ul> LTV requirements: <ul style="list-style-type: none"><li>&lt;= \$2.0M = Purch &amp; R/T: 70% LTV or Cash-Out: 65% LTV</li><li>&gt; \$2.0M - \$2.5M = Purch &amp; R/T: 65% LTV or Cash-Out: 60% LTV</li><li>&gt; \$2.5M - \$3.0M = Purch &amp; R/T: 60% LTV or Cash-Out: 55% LTV</li></ul> |                               |                       |                            |                                                         |
| Max Number of Financed Properties                                                                                                                                                                                                                                                                                                                                                                                                                                  | • No restrictions                                                                                                                                                                                                                                                                                                                                                                                                                   |                               |                       |                            |                                                         |

|                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Property Type</b>         | <ul style="list-style-type: none"> <li>Residential 5-10 Units</li> <li>Mixed Use 2-8 units. For properties with less than 5 units, at least 1 unit must be commercial. <ul style="list-style-type: none"> <li>2-3 Units: Max 1 commercial unit</li> <li>4-5 Units: Max 2 commercial units</li> <li>6-8 Units: Max 3 commercial units</li> <li>Commercial space must not exceed 49% of the total building area</li> </ul> </li> <li>Multiple buildings on one parcel are not permitted.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| <b>Rural Properties</b>      | <ul style="list-style-type: none"> <li>Not permitted</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| <b>Property Requirements</b> | <ul style="list-style-type: none"> <li>Minimum 400 square feet per unit</li> <li>Must be accessible for year-round residential use.</li> <li>Contain a full kitchen and bath.</li> <li>Represent the highest and best use of the property.</li> <li>Not contain any health or safety issues</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| <b>Property Condition</b>    | <ul style="list-style-type: none"> <li>No fair or poor ratings</li> <li>No environmental issues (Storage or use of hazardous material, ex. Dry Cleaners, Laundromat)</li> <li>No health or safety issues as noted by the appraiser (ex. Broken windows, stairs, etc.)</li> <li>No excessive deferred maintenance that could become a health or safety issue for tenants.</li> <li>No structural deferred maintenance (ex. Foundation, roof, electrical, plumbing)</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| <b>Unleased Units</b>        | <ul style="list-style-type: none"> <li>Refer to Underwriting Guidelines.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| <b>For Sale by Owner</b>     | <ul style="list-style-type: none"> <li>Not permitted</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| <b>Appraisals</b>            | <p><u>Residential 5-10 units:</u></p> <ul style="list-style-type: none"> <li>FHLMC 71A</li> <li>FHLMC 71B for loan amounts &lt; \$750K (Correspondent only)</li> <li>Narrative report may be used but is not required.</li> </ul> <p><u>Mixed Use 2-8 Units:</u></p> <ul style="list-style-type: none"> <li>FHLMC 71A</li> <li>FHLMC 71B for loan amounts &lt; \$750 (Correspondent only)</li> <li>General Purpose Commercial Forms (ex. GP Commercial Summary Form) or Narrative report</li> <li>Loans &gt; \$2M, a second appraisal is not required if the 71A or Commercial Narrative report is provided.</li> </ul> <p>The following are required with each report:</p> <ul style="list-style-type: none"> <li>Full Interior Inspection of each unit</li> <li>Rent roll.</li> <li>Income and Expense Statement</li> <li>Photos of subject including exterior/interior and street scene</li> <li>Aerial photo</li> <li>Sketch or floor plan of typical units.</li> <li>Map</li> <li>Appraiser qualifications</li> <li>BPO to be ordered on all transactions with the exception of those including two full appraisals.</li> </ul> |
| <b>Declining Markets</b>     | <ul style="list-style-type: none"> <li>Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV, when &gt;65% LTV.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| <b>Income Requirements</b>   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| <b>Income</b>                | <ul style="list-style-type: none"> <li>Use lower of Estimated market rent or lease agreement on a refinance.</li> <li>Purchases use the estimated market rent.</li> <li>For leases that have converted to month-to-month, provide 2 months bank statements to support rental income.</li> <li>Vacant unit(s) – See Guidelines.</li> <li>Reduce qualifying rents by any management fee reflected on the appraisal report.</li> <li>2-8 Mixed Use: Income from commercial space must not exceed 49% of the total property income.</li> <li>Minimum DSCR &gt;=1.00</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |

| Underwriting Requirements             |                                                                                                                                                                                                                                                                                                                                     |
|---------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Credit Score</b>                   | <ul style="list-style-type: none"> <li>• Middle of 3 scores or lower of 2 of all Borrowers</li> </ul>                                                                                                                                                                                                                               |
| <b>Tradelines</b>                     | <ul style="list-style-type: none"> <li>• All borrowers have 3 scores: or</li> <li>• Min: 2 open and reporting 24-months; or</li> <li>• 3 open and reporting 12-months.</li> </ul>                                                                                                                                                   |
| <b>Reserves</b>                       | <ul style="list-style-type: none"> <li>• Loan Amt &lt;= \$1.5M: 6 Months PITIA</li> <li>• Loan Amt &gt; \$1.5M - \$2.0M: 9 months PITIA</li> <li>• Loan Amt &gt; \$2.0M - \$2.5M: 12 Months PITIA</li> <li>• Loan Amt &gt; \$2.5M - \$3.0M: 12 Months PITIA</li> <li>• Cash out may be used to meet reserve requirements</li> </ul> |
| <b>Gift Funds</b>                     | <ul style="list-style-type: none"> <li>• Allowed after min 10% borrower contribution.</li> <li>• Cannot be used to meet reserve requirements</li> </ul>                                                                                                                                                                             |
| <b>Assets</b>                         | <ul style="list-style-type: none"> <li>• 30-day asset verification required</li> </ul>                                                                                                                                                                                                                                              |
| <b>Subordinate Financing</b>          | <ul style="list-style-type: none"> <li>• Not Permitted</li> </ul>                                                                                                                                                                                                                                                                   |
| <b>Escrow Waiver</b>                  | <ul style="list-style-type: none"> <li>• Not Permitted</li> </ul>                                                                                                                                                                                                                                                                   |
| <b>Age of Documentation</b>           | <ul style="list-style-type: none"> <li>• Credit - 120 days</li> <li>• Assets - 90 days</li> </ul>                                                                                                                                                                                                                                   |
| <b>Prepayment Penalty</b>             | <ul style="list-style-type: none"> <li>• Required where permitted. See the “Business Purpose Licensing &amp; PPP Restrictions” PDF in the Documents Tab in the Client Portal.</li> </ul>                                                                                                                                            |
| <b>Interested Party Contributions</b> | <ul style="list-style-type: none"> <li>• ALL = 6%</li> </ul>                                                                                                                                                                                                                                                                        |